

Europe's Startup Funding Stabilized In 2024, But Remains Far Off Market Peak

Gené Teare January 13, 2025



Gené Teare
@geneteare

Funding to Europe-based startups settled year over year in 2024. Funding reached \$51 billion, down by 5% year over year from \$54 billion invested in 2023, Crunchbase data shows.

Europe's startups raised 16% of [total global venture capital in 2024](#), down slightly from 18% in the prior two years. (Although it's good to keep in mind that some European startups move their headquarters to the U.S. but retain large teams in Europe, which skews the funding numbers in favor of the U.S., with funding counts based on where a company is based.)

Funding stabilized in Europe in 2024 but is still less than half — 44% — of the market peak of \$117 billion in 2021. Late-stage funding has plummeted the most since the continent’s funding heyday.

While funding was flat year over year, it was above pre-pandemic funding levels, including 2020.

Europe Venture Dollar Volume By Annum

crunchbase

Table of Contents

- [UK, France and Germany lead](#)
- [Healthcare, financial services and AI led](#)
- [Quarterly](#)
- [Late stage](#)
- [Early stage](#)
- [Seed](#)
- [Europe summary](#)
- [Related reading](#)
- [Methodology](#)
- [Glossary of funding terms](#)

UK, France and Germany lead

The leading country in Europe, the U.K., represented around a third of funding to Europe's startups in 2024, with U.K.-based startups raising around \$17 billion of the total funding.

France raised \$7.9 billion and Germany came in a close third with \$7.6 billion. Each represented about 15% of funding to the continent.

Switzerland was the fourth-largest European country with \$2.8 billion invested in its startups last year.

Venture Dollar Volume By Leading Country In Europe, Through Q4 2024

crunchbase

Healthcare, financial services and AI led

The leading sector for investment to Europe's startups was healthcare/biotechnology, with more than \$11 billion invested. Leading companies by investments were Germany-based biotech holding company [Isotopen Technologien München](#), London-based women's health startup [Flo Health](#), and Finland-based sleep and health tracking platform [Oura](#).

Financial services was the second-largest sector with \$9.6 billion in funding. The largest rounds in this sector went to London-based lending firm [Abound](#), Barcelona-based e-commerce payment company [SeQura](#), London-based digital bank [Monzo](#), and London-based cross border payment company [Zepz](#).

AI was the third-largest sector for funding to Europe startups at \$8.8 billion — around 9% of global AI funding. The largest rounds were raised by London-based autonomous driving startup [Wayve](#), Paris-based foundation model company [Mistral AI](#), Berlin-based AI defense company [Helsing](#), and AI translation company Cologne-based [DeepL](#). ([Poolside](#), now based in the U.S. but previously headquartered in Paris, raised a \$500 million round in 2024.)

Q4 ends year on strong note

Funding to Europe startups in Q4 reached \$12 billion, up 13% quarter over quarter and flat year over year.

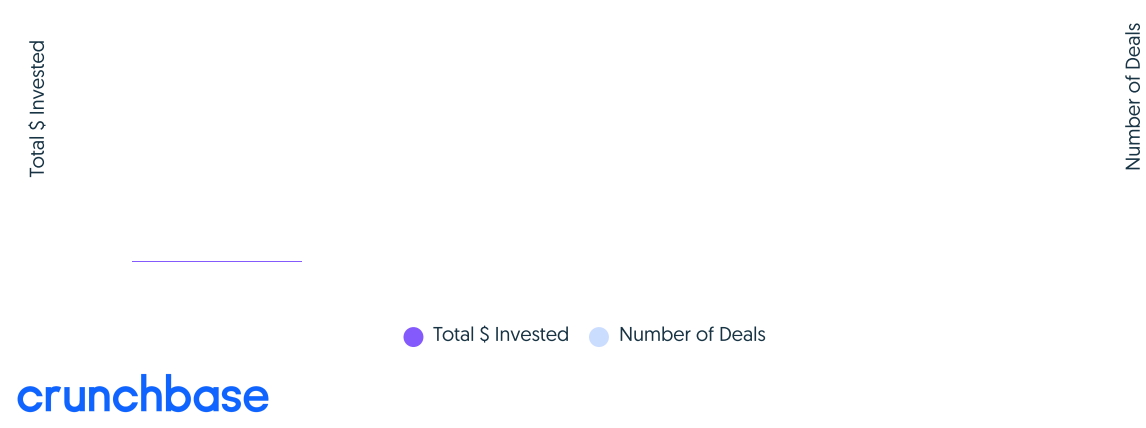
Europe Venture Dollar Volume Through Q4 2024

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	13%	0%

Late stage

Late-stage funding in Q4 reached \$5.2 billion across 100 deals, up 25% by amounts year over year.

Europe Late-Stage & Technology Growth Investment Through Q4 2024



Early stage

Early-stage funding reached \$5.1 billion in Q4 across nearly 300 funding rounds, down 7% year over year.

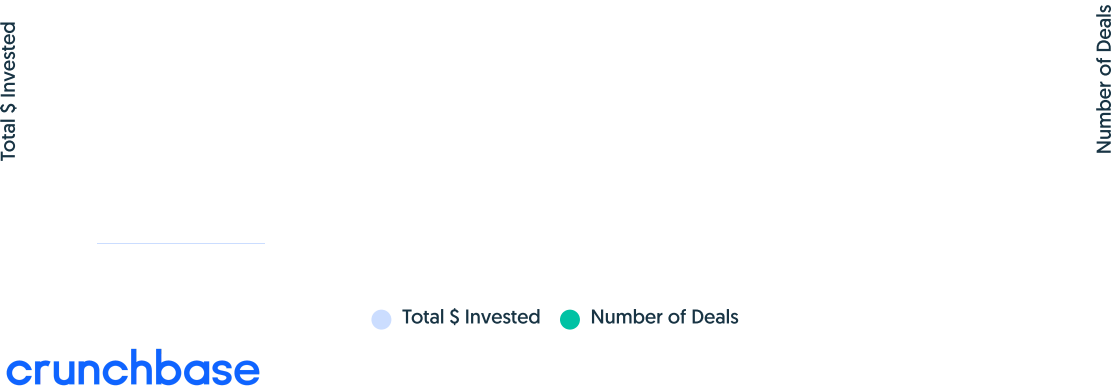
Europe Early-Stage Investment Through Q4 2024

crunchbase

Seed

Seed funding reached \$1.6 billion in Q4 across more than 800 deals, down 29% in funding from the previous year’s Q4.

Europe Seed And Angel Investment Through Q4 2024



Europe summary

Europe's startup funding was flat year over year, in contrast to [North America, which spiked](#) in Q4 and was up year over year due in large part to funding to the AI sector and numerous billion-dollar-plus rounds.

The continent's seed and early-stage venture funds have remained active. Funding at the seed and earlier stages for 2024 were north of 60% in total from the market peak, while late-stage funding was around 31%.

Related reading

- [Startup Funding Regained Its Footing In 2024 As AI Became The Star Of The Show](#)
- [North American Startup Funding Spikes To Close 2024](#)

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of Jan. 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and

convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: Dom Guzman

Tags AI fintech healthcare unicorn